

Real GDP growth has been revised marginally downwards in 2Q26, yet mostly due to changes in inventories. Household income remains robust though corporate profitability is under pressure. We expect the Czech National Bank to raise rates despite mediocre growth, as prolonged conflicts have pushed the equilibrium rate higher than widely assumed

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Robust household income vs pressured profitability

Regarding households, real income gained 0.7% quarter-on-quarter, real consumption per capita added 0.6% QoQ, and the savings rate increased by 0.4ppt in 2Q26. On an annual basis, real income rose 3.1%, while consumption per capita increased by 2.5% in 2Q26. The household savings rate was 19.9% in 2Q26, which is 0.1ppt higher than a year ago. The investment rate in the

household sector increased 10.9%, adding 0.4ppt QoQ and 0.8ppt year-on-year, signalling a still-strong housing market.

In the corporate sector, the profit rate stood at 42.4% in 2Q26, down 0.5ppt from the previous quarter and 1.8ppt from the previous year. The investment rate was 28.3% in 2Q26, edging down by 0.1ppt on a quarterly basis but up 1.3ppt from a year earlier. Total wage costs surged 6.7% from a year earlier, while the average monthly income from employment rose by 4.2% YoY.

Inventories transformed into fixed investment

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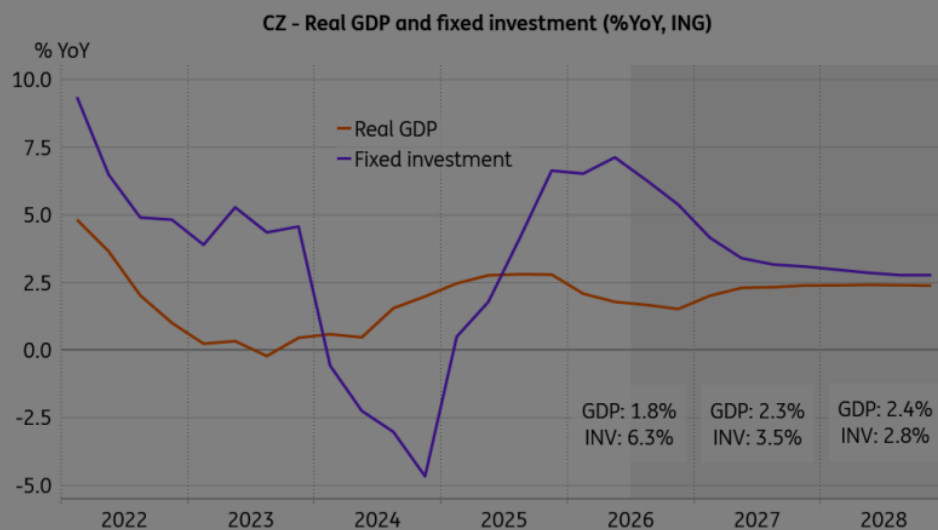
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T and a 1.8% YoY gain, while both are 0.1ppt below the previous release. The downward revision was solely driven by changes in inventories. In contrast, we saw somewhat stronger government consumption in 2Q26. Accumulated inventories clearly contributed to the strong growth in fixed investment. That said, given the heightened uncertainty from the ongoing conflicts, we expect further restocking to be pushed out to the second half of next year.

Uncertainty may sour investment appetite



Source: CZSO, ING, Macrobond

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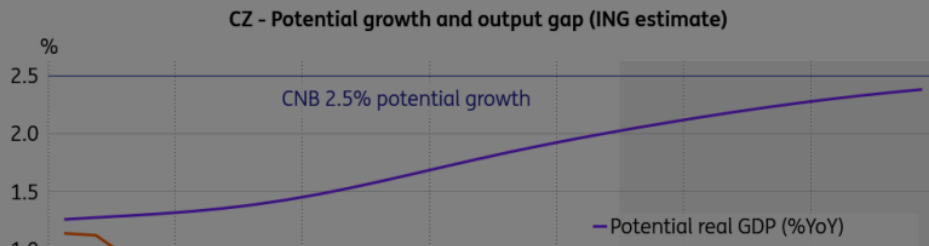
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Equilibrium rate must adjust to the brave new world

Overall, real household income remains robust, which will likely keep the economic expansion just below 2% this year. At the same time, corporate profitability seems to be under pressure from both surging input costs and fierce competition. Households will face renewed growth in food and energy prices over the next year, which will dampen real purchasing power. Indeed, the protracted Hormuz conflict is starting to bite into real economic activity, while quarterly

GDP gains at the turn of the year are subject to downward risks in our view.

Output gap set to remain negative for some time



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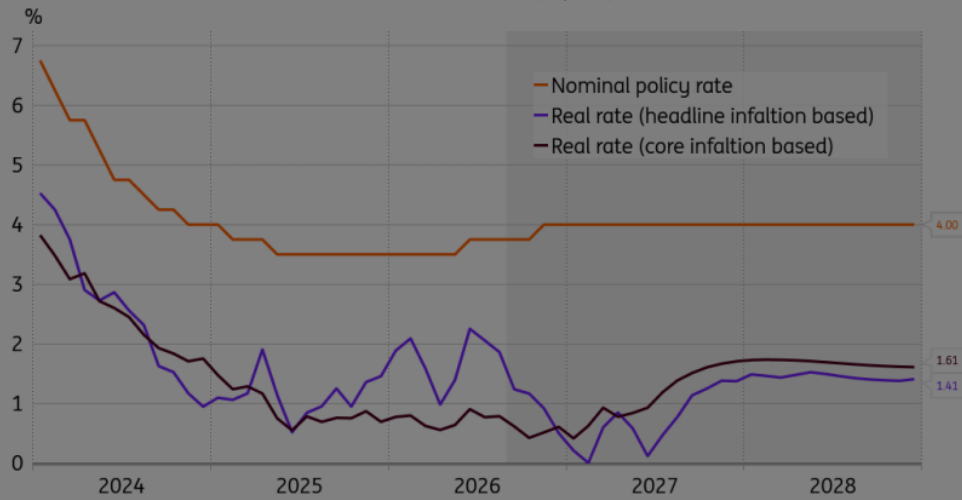
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In my view, the world is entering a new *modus operandi*, where protracted conflicts become the norm, making all resources increasingly scarce. As supply gets tighter and resources become costlier, the cost of capital must adjust to ensure that inflation does not systematically get out of hand.

Rates pushed up by structural changes; not only for CNB

CZ - interest rates (% , ING)



Source: CNB, ING, Macrobond

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